**NOTE 17: INCOME TAXES**

The provision for income taxes for the years ended December 31, is as follows:

| *(In thousands)* | 2018 | 2017 |
|---|---|---|
| Current | $ 203 | $ 1,022 |
| Deferred | 343 | (100) |
| | $ 546 | $ 922 |

The provision for income taxes includes the following

| *(In thousands)* | 2018 | 2017 |
|---|---|---|
| Federal Income Tax | $ 714 | $ 741 |
| State Tax | (168) | 181 |
| | $ 546 | $ 922 |

The components of the net deferred tax asset, included in other assets as of December 31, are as follows:

| *(In thousands)* | 2018 | 2017 |
|---|---|---|
| Assets: | | |
| Deferred compensation | $ 895 | $ 847 |
| Allowance for loan losses | 1,909 | 1,862 |
| Postretirement benefits | 119 | 126 |
| Subordinated loan interest | 23 | 23 |
| Investment securities | 1,002 | 551 |
| Loan origination fees | 35 | 108 |
| Held-to-maturity securities | 21 | 153 |
| Stock-based compensation | 166 | 103 |
| Community service activities | 153 | 30 |
| Other | 374 | 79 |
| Total | 4,697 | 3,882 |
| Liabilities: | | |
| Prepaid pension | (1,157) | (1,173) |
| Depreciation | (1,441) | (968) |
| Accretion | (177) | (120) |
| Intangible assets | (1,004) | (1,004) |
| Mortgage servicing rights | (4) | (7) |
| Prepaid expenses and transaction fees | (69) | (79) |
| Total | (3,852) | (3,351) |
| Net deferred tax asset | $ 845 | $ 531 |

Realization of deferred tax assets is dependent upon the generation of future taxable income or the existence of sufficient taxable income within the carry back period. A valuation allowance is provided when it is more likely than not that some portion, or all of the deferred tax assets, will not be realized. In assessing the need for a valuation allowance, management considers the scheduled reversal of the deferred tax liabilities, the level of historical taxable income and the projected future level of taxable income over the periods in which the temporary differences comprising the deferred tax assets will be deductible.

Deferred income tax assets and liabilities are determined using the liability method. Under this method, the net deferred tax asset or liability is recognized for the future tax consequences. This is attributable to the differences between the financial statement carrying amounts of existing assets and liabilities and their respective tax bases as well as net operating and capital loss carry forwards. Deferred tax assets and liabilities are measured using enacted tax rates applied to taxable income in the years in which those temporary differences are expected to be recovered or settled. The effect on deferred tax assets and liabilities of a change in

tax rates is recognized in income tax expense in the period that includes the enactment date. If current available evidence about the future raises doubt about the likelihood of a deferred tax asset being realized, a valuation allowance is established. The judgment about the level of future taxable income, including that which is considered capital, is inherently



subjective and is reviewed on a continual basis as regulatory and business factors change. Prior to 2017, management believed that it may not have been able to generate sufficient future taxable income in the form of capital gains to offset its capital loss carry forward position before those potential tax benefits expired, and accordingly established a valuation allowance. During 2017, the Company recognized sufficient net capital gains of $428,000, effectively utilizing all capital loss carryforward tax benefits established in prior years and thereby eliminating the need for any valuation allowance related to the future utilization of those carryforwards at December 31, 2017. As a result, the Company maintained no valuation allowance related to future tax benefits related to the utilization of capital loss carryforwards at December 31, 2017. On December 22, 2017 the Tax Act was signed into law. The Tax Act instituted significant changes to various sections of the Internal Revenue Code that effects the Company. Most notably, the Tax Act reduces the Company's marginal federal income tax rate from 34% to 21% starting January 1, 2018. Generally Accepted Accounting Principles ("GAAP") requires that the impact of the provisions of the Tax Act be accounted for in the period of enactment. Accordingly, the Company recorded an income tax benefit in the fourth quarter of 2017 related to the Tax Act in the amount of $155,000. The reduction in income tax expense was largely attributable to the reduction in the value of net deferred tax assets and liabilities reflecting lower future tax obligations resulting from the Tax Act's enacted lower federal corporate tax rate. Banking corporations operating in New York State are taxed under the New York State General Business Corporation Franchise Tax provisions. Under this New York State tax law, the tax rate on the business income base is 6.5%. However, various modifications are available to community banks (defined as banks with less than $8 billion in total assets) regarding certain deductions associated with interest income. Commencing on January 1, 2018, the Company changed its elected interest income modification methodology under which its New York State income tax expense is calculated. This change in the Company's interest income modification election was adopted following changes to the New York State Tax Code enacted in 2015 and resulted in a reduction of the Company's effective income tax rate in New York State in 2018. It is anticipated that the Company's New York effective income tax rate will remain substantially at 0.0% in future periods under current law.

A reconciliation of the federal statutory income tax rate to the effective income tax rate for the years ended December 31, is as follows:

| | 2018 | 2017 |
|---|---|---|
| Federal statutory income tax rate | 21.0 % | 34.0 % |
| State tax, net of federal benefit | (3.7) | 2.9 |
| Tax-exempt interest income | (4.3) | (11.2) |
| Increase in value of bank owned life insurance less premiums paid | (1.9) | (2.0) |
| Change in valuation allowance | - | (3.5) |
| Remeasurement of net deferred tax assets for tax rate reduction - Tax Cuts & Jobs Act | - | (3.5) |
| Other | 0.9 | 4.5 |
| Effective income tax rate - Pathfinder Bancorp, Inc. | 12.0 % | 21.2 % |
| Minority interest | (0.1) | (0.6) |
| Effective income tax rate | 11.9 % | 20.6 % |